

THE GST BURDEN

S. No.	Particulars	Amount (₹)
A	Opening balance of wallet	100
B	Money deposited in wallet	1,000
C	GST @ 28 per cent of B	280
D	Balance in wallet (A+B-C)	820
E	Entry fee	100
F	Platform fee	10
G	Money won $[D-(E+F)] \times 2$	1,420
H	TDS u/s 194BA $[G-(A+B)] \times 30$ per cent	96
I	Withdrawal after taxes (G-H)	1,324
J	Total taxes (C+H)	376

► Of the ₹1,100 in a player's wallet (contest entry amount), ₹376 post winnings would go towards taxes

► The players would have to pay both income tax and GST

SOURCE CALCULATIONS BY NANGIA ANDERSEN LLP

WHAT'S WHAT

ONLINE GAMING A game that is offered on the internet and is accessible by a user through a computer resource or an intermediary

ONLINE REAL-MONEY GAME An online game where a user makes a deposit in cash or kind with the expectation of earning winnings on that deposit

WINNINGS This refers to any prize, in cash or kind, which is distributed or intended to be distributed to a user of an online game based on the user's performance and as per the rules of the game

NOTE AS PER IT RULES 2021

Sports (FIFS) earlier this year states the online gaming industry had grown to \$2.6 billion in FY22 and was expected to reach \$8.6 billion by FY27, growing at a CAGR of 27 per cent. It is seen to have grown to \$3 billion already this year, per experts.

Meanwhile, Indian gaming firms had raised \$2.8 billion from investors across the globe in the past five years, the report states, adding that the industry was estimated to have created more than 100,000 direct and indirect jobs by FY23. Plus, the space boasts of unicorns such as Dream11, co-founded by Harsh Jain and Bhavit Sheth; Mobile Premier League (MPL), co-founded by Sai Srinivas and Shubh Malhotra; and Games24x7, co-founded by Trivikraman Thampy and Bhavin Pandya. Meanwhile, Nazara Technologies, another gaming firm, made a stellar debut in the public markets in March 2021.

Perhaps that is why, despite not being as big a market as China (\$45 billion in revenue in 2022, per Goldman Sachs) or the US (\$54 billion in 2022, per the American Gaming Association), India is a significant player. The report by EPWA and VMLS notes that by 2025, the number of mobile gamers in India will cross 700 million from 507 million in FY22.

While stakeholders were excited about the prospects of this sector, the tax authorities were busy making their plans.

A QUESTION OF TAXES

The online gaming industry had been grappling with the tax question for some time. Initially, games of chance and gambling were subject to 28 per cent GST on the bet value, while games of skill attracted GST at 18 per cent on the platform fee or gross gaming revenue (GGR). But experts note that the rate as well as value was always an area of debate. The industry had contended that it should be on the platform fee, which is globally accepted.

The definition of game of skill and game of chance was also a matter of contention and the earlier tax notices are believed to be a result of this. "The GST rate on the gaming industry has been a subject matter of debate considering an arbitrage of 18 per cent versus 28 per cent applicable on